

Changing Landscapes

The appeal of gaming is now almost universal. In 2019, the total value of the sector was expected to surpass \$152 billion. The figure doesn't include the sale of consoles and other hardware, nor the value of ad revenue. Much of the market's accelerated growth has been driven by mobile. As the largest single segment in the space, tablet and smartphone games are expected to account for 45 per cent of the market this year due to the increasing adoption of smartphones, the growing popularity of the Asian games market, and the rise of digital distribution.

Console games are predicted to hold a 32 per cent market share worth \$47.9 billion, while PC games account for 21 per cent with a value of \$32.2 billion. The growth of both segments has been helped by strong franchises and new revenue streams, such as the games-as-a-service model.



Image source: <https://www.bencinstudios.com/wp-content/uploads/2019/01/streamers1-400x300.jpg>

The world's largest developed markets for online gaming—the US, the UK, and China—are to continue growing but will see a declining growth rate of digital gamers over the next five years.

The gaming industry has always been highly competitive. The nature of that competition is changing at a rapid rate. In the past, the industry fought to acquire more individual gamers. Now, the battle concerns reaching and engaging the right gamers while beating out other forms of entertainment for their time. Gamers are staying engaged in fewer titles, but for longer.

Evolving Play

A platform-agnostic future is on the horizon with gaming preferences changing. The two biggest drivers of this are the diversification of mobile gaming and an increasing appetite for familiar brands and intellectual property (IP). The emergence of hyper-casual and hardcore titles has also brought mobile gaming into new arenas, and opportunities have arisen between these two extremes.

People have begun to warm up to in-game ads. The success of the free-to-play model is apparent, with 75 per cent of mobile gamers saying they accept